Notes: Cunat, Gine, and Guadalupe (Journal of Finance, 2012)

The Vote Is Cast: The Effect of Corporate Governance on Shareholder Value

Contents

1 Executive overview

1.1 Main question

The paper asks whether changes in corporate governance *causally* affect shareholder value. The challenge is endogeneity: governance reforms are not randomly adopted.

1.2 Core identification idea (close-vote RDD)

Shareholder-sponsored governance proposals are voted on at annual meetings. Let v denote the vote share in favor and $v^\star$ the passing threshold (typically 50%, but sometimes different). When v is extremely close to $v^\star$, whether the proposal *passes* or *fails* is close to random. This yields a regression discontinuity design (RDD) that identifies the causal effect of governance changes on:

- **stock-market value** (abnormal returns on and around the meeting day), and
- **long-run firm policies and valuation** (acquisitions, investment growth, book-to-market).

1.3 Key findings

(i) **Passing close-call governance proposals increases firm value:** meeting-day abnormal returns jump upward at the passing threshold. A benchmark estimate is about **1.3%** abnormal return on the meeting day for a proposal that passes narrowly.

(ii) **The effect is concentrated in the vote day:** no systematic pre-trends; the discontinuity spikes at day 0.

(iii) **Governance proposals have real effects and implementation content:** passing proposals reduces antitakeover provisions (G-index) and affects long-run acquisitions, investment, and valuation.

2 Data and institutional setting

2.1 Shareholder governance proposals

The paper uses RiskMetrics voting data on shareholder-sponsored governance proposals (1997–2007) for:

- all S&P 1500 firms, plus
- an additional set of widely held firms.

The unit of observation is a **proposal vote**. A firm-meeting can contain multiple proposals; the econometric setup explicitly handles this.

2.2 Governance categories

A key split is:

- **G-index proposals:** proposals that aim to remove antitakeover provisions (linked to the Gompers–Ishii–Metrick governance index).
- **Other proposals:** board/compensation/auditor/voting-related proposals that increase shareholder control but are not in the G-index bucket.

2.3 Stock-market outcomes (abnormal returns)

Daily abnormal returns are computed from CRSP, using a factor-model benchmark (Fama–French plus momentum; Carhart 1997). The **meeting day** ($t = 0$) abnormal return is the main short-run outcome.

2.4 Long-run outcomes

Using Compustat and SDC:

- acquisitions count and acquisitions ratio,
- capital expenditures (CAPEX) growth,
- valuation measures (Tobin's Q, book-to-market),
- governance implementation (G-index from RiskMetrics, updated biennially).

3 Analytical framework: why close votes identify value

3.1 Notation

For firm f at meeting date t:

- v_{ft}: vote share in favor (in %).
- $v^{\star}$: passing threshold for that proposal (often 50%).
- $D_{ft} := \mathbf{1}\{v_{ft} \geq v^{\star}\}$: indicator that the proposal passes.

3.2 Market-value object and event-study logic

Let $W(v)$ denote the (possibly vote-share-dependent) value to the firm of the vote outcome, and let $\mathbb{E}[W \mid v]$ denote the market's expectation of this value *given* the observed vote share v before the outcome is revealed. When the vote outcome becomes known, the meeting-day abnormal return is conceptually:

$$AR(v) \;=\; W(v) - \mathbb{E}[W \mid v].$$

3.3 The discontinuity estimand Z

Because $W(v)$ jumps discretely at the passing threshold but $\mathbb{E}[W \mid v]$ is smooth in v, the abnormal return has a discontinuity at $v^\star$. Define the discontinuity in abnormal returns at the threshold as:

$$Z \; := \; \lim_{v \downarrow v^\star} AR(v) \; - \; \lim_{v \uparrow v^\star} AR(v).$$

Under the simplest (illustrative) case where passing is binding and $W(v)$ is a step function, Z equals the value of implementing the provision. In practice, shareholder proposals can be *nonbinding* ("fuzzy" RDD), and passing can also affect the chance of future proposals. The paper therefore uses a decomposition to recover a value measure of implementation.

3.4 Recovering the value of a proposal from Z (Equation (1))

Let:

- p^I: the discontinuous change in the probability that the *current* proposal is implemented when it passes narrowly rather than fails narrowly;
- p^p_{t+i}: the induced (endogenous) change in the probability that *another* proposal is passed and implemented i periods in the future as a consequence of the current proposal passing;
- $\delta \in (0, 1)$: discount factor per period.

Then the paper shows that the value of the governance provision for firm f can be recovered as:

$$\overline{W}_f \; = \; \frac{Z}{p^I + \sum_{i=1}^{\infty} \delta^i p^p_{t+i}}. \tag{1}$$

Interpretation. Z is the market reaction to the vote outcome. This reaction is *diluted* if: (i) implementation probability increases by less than one (fuzzy pass), and/or (ii) some of the price impact reflects increased likelihood of *future* governance actions rather than only the current one. Equation (1) "undoes" those channels to infer the implied value of actually implementing the provision.

4 Econometric models (all main equations)

4.1 Baseline causal model (Equation (2))

Let y_{ft} denote an outcome (e.g., abnormal return). A causal model is:

$$y_{ft} \; = \; \kappa + D_{ft}\theta + u_{ft}. \tag{2}$$

Directly regressing y_{ft} on D_{ft} is biased because D_{ft} is endogenous in general: D_{ft} correlates with u_{ft} since higher support proposals may differ systematically.

4.2 Regression discontinuity specification (Equation (3))

RDD uses the vote share as a running variable. Allow different smooth functions on each side of the threshold:

$$y_{ft} = D_{ft}\theta + P_r(v_{ft}, \gamma^r) + P_l(v_{ft}, \gamma^l) + u_{ft}, \tag{3}$$

where $P_r(\cdot)$ and $P_l(\cdot)$ are polynomials (or local smooth approximations) on the right/left of the threshold.

Identification. If $\mathbb{E}[u_{ft} \mid v_{ft}]$ is continuous at $v^\star$ and the density of v_{ft} is continuous at $v^\star$, then θ is identified by the discontinuity at the threshold.

4.3 Dynamic effects (Equation (4))

Let $y_{f,t+\tau}$ be the outcome τ periods after the meeting:

$$y_{f,t+\tau} = D_{ft}\theta^\tau + P_r(v_{ft}, \gamma^r_\tau) + P_l(v_{ft}, \gamma^l_\tau) + u_{f,t+\tau}. \tag{4}$$

4.4 Pooled dynamic RD with fixed effects (Equation (5))

Following Cellini, Ferreira, and Rothstein (2010), pool over τ and include fixed effects:

$$y_{f,t+\tau} = D_{ft}\theta^\tau + P_r(v_{ft}, \gamma^r_\tau) + P_l(v_{ft}, \gamma^l_\tau) + \alpha_\tau + \eta_c + \lambda_{ft} + e_{ft\tau}. \tag{5}$$

Here:

- α_τ: fixed effects for "event time" (periods relative to the meeting date),
- η_c: calendar-year fixed effects,
- λ_{ft}: **focal meeting** fixed effects (absorb meeting-level unobservables).

4.5 Multiple votes on the same meeting date: aggregation (Equation (6))

A firm-meeting can include N governance proposals indexed by $K = 1, \ldots, N$. Assuming (for tractability) a common average treatment effect across proposals around the discontinuity, the paper rewrites the non-dynamic model as:

$$y_f = \theta \sum_{K=1}^{N} D^K_{ft} + \left[P_r\Big(\sum_{K=1}^{N} v^K_{ft}, \gamma^{K,r} \Big) + P_l\Big(\sum_{K=1}^{N} v^K_{ft}, \gamma^{K,l} \Big) \right] + u_{ft}. \tag{6}$$

4.6 Dynamic model with aggregation (Equation (7))

Combining dynamics and aggregation yields:

$$y_{f,t+\tau} = \theta^\tau \sum_{K=1}^{N} D_{ft} + \left[P_r\Big(\sum_{K=1}^{N} v^K_{ft}, \gamma^{K,r}_\tau \Big) + P_l\Big(\sum_{K=1}^{N} v^K_{ft}, \gamma^{K,l}_\tau \Big) \right] + \alpha_\tau + \eta_c + \lambda_{ft} + e_{ft\tau}. \tag{7}$$

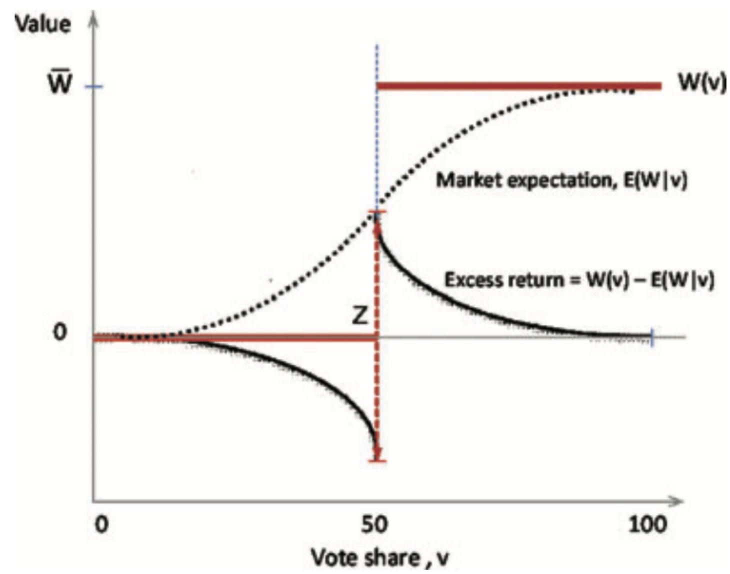

Figure 1. Market reaction to vote outcomes.

Practical implementation. Throughout, the paper uses a polynomial of order four on each side of the threshold. Standard errors are clustered at the firm level. For abnormal returns, the event window is short (days), so the "intent-to-treat" and "treatment-on-the-treated" distinction is less central for daily-return regressions.

5 Abnormal return construction (event-study module)

Let $R_{i,t}$ be firm i's daily stock return and $R_{f,t}$ the risk-free return. Let F_t denote the Carhart (1997) factor vector (market, SMB, HML, momentum). Estimate a factor model on a pre-event estimation window:

$$R_{i,t} - R_{f,t} = \alpha_i + \beta_i' F_t + \varepsilon_{i,t}.$$

Then define the abnormal (excess) return as the residual:

$$AR_{i,t} := \widehat{\varepsilon}_{i,t}.$$

The outcome y_{ft} is typically $AR_{f,0}$ (the abnormal return on the meeting day), and in dynamic/event-time analyses $y_{f,t+\tau}$ is the abnormal return at event day τ.

6 Interpreting figures

6.1 Figure 1: Market reaction to vote outcomes (conceptual)

What the figure shows. A stylized step-function value $W(v)$ that jumps at the majority threshold and a smooth market expectation $\mathbb{E}[W \mid v]$. The abnormal return is $W(v) - \mathbb{E}[W \mid v]$, hence it also jumps at the threshold.

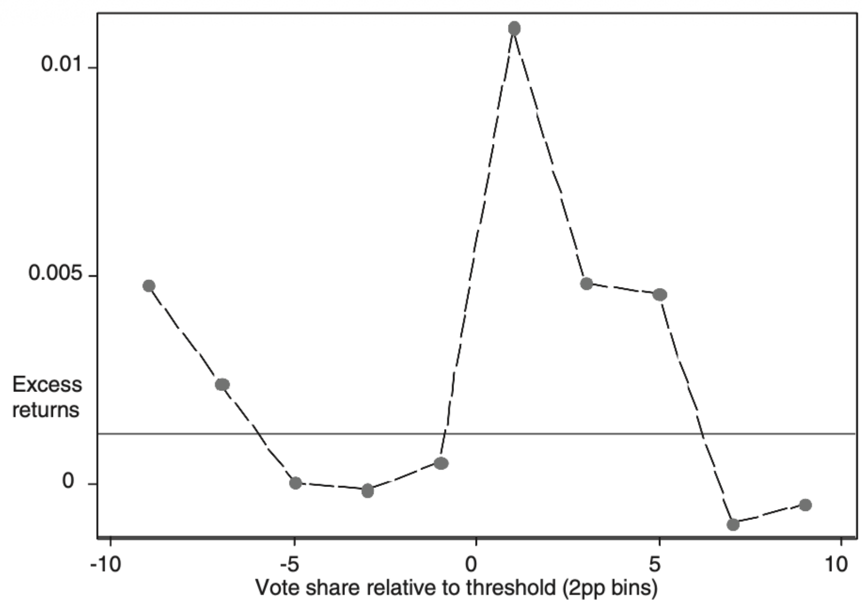

Figure 2. Excess returns by vote share on the day of the vote.

Intuition. When the vote is a close call, the market assigns a nontrivial probability to either outcome. When the actual outcome is revealed, prices update sharply. The discontinuity at $v^\star$ isolates this update and can be interpreted as the value of passing (up to implementation/future-proposal adjustments).

6.2 Figure 2: Excess returns by vote share on the day of the vote (graphical RD)

What the figure shows. Binned average meeting-day abnormal returns against vote-share distance to the threshold. There is a clear upward jump at 0: proposals that *barely pass* generate positive abnormal returns relative to those that *barely fail*.

Interpretation. This is the graphical counterpart of the RD regression: the market views passing governance proposals as value-increasing on average.

6.3 Figure 3: Distribution of vote shares (manipulation check)

What the figure shows. Histograms of vote shares for G-index proposals and for other proposals.

Interpretation. The density appears smooth around the 50% threshold. This supports the RD assumption that there is no discontinuous sorting/manipulation of vote shares exactly at the cutoff.

6.4 Figure 4: Day-by-day difference in excess returns (event-time validation)

What the figure shows. For close votes (within ± 5 percentage points), the day-by-day difference in abnormal returns between pass and fail.

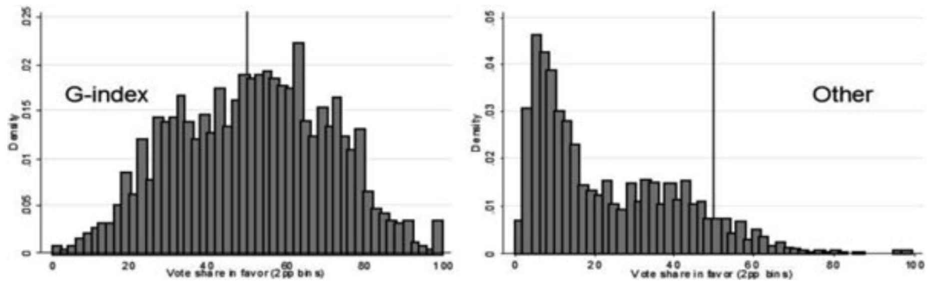

Figure 3. Distribution of vote shares for other shareholder governance proposals.

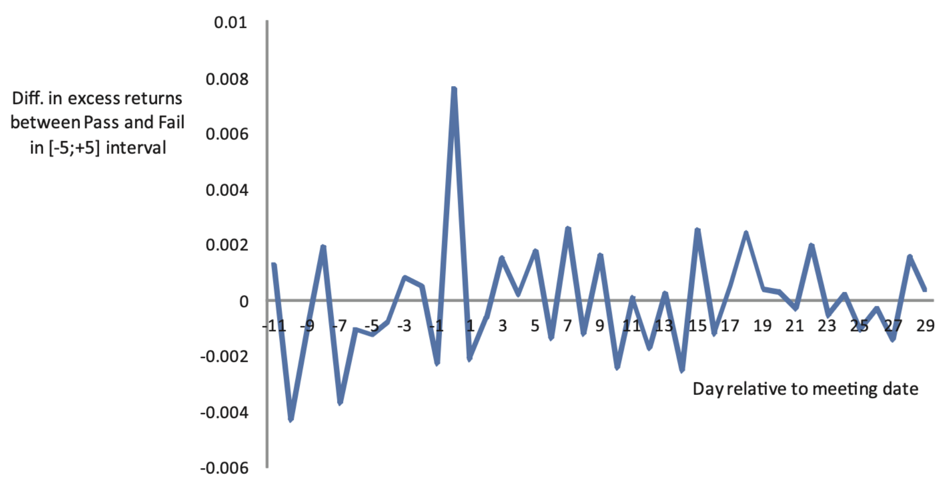

Figure 4. Day-by-day difference in excess returns, vote share in [5;+5] interval.

Panel A: Shareholder Proposal Summary Statistics					
Year	Shareholder Proposals	Approved Proposals	Percentage Approved Proposals	Average Vote Outcome	Std. Dev. Vote Outcome
1997	292	29	9.90%	23.13%	17.46
1998	272	37	13.66%	26.29%	19.11
1999	310	58	18.70%	28.60%	21.84
2000	272	70	25.00%	30.95%	23
2001	277	67	24.00%	30.03%	22.21
2002	297	100	33.60%	36.61%	23.38
2003	479	166	34.60%	37.50%	23.27
2004	451	126	27.00%	33.12%	25.05
2005	417	124	29.70%	37.17%	23.99
2006	450	143	31.70%	40.87%	22.66
2007	467	120	25.70%	37.31%	21.97
Total	3,984	1,040	27.35%	36.16%	

Panel B: Type of Governance Proposals (Broad Classification)— Summary Statistics			
Proposal Type	No. of Proposals	Mean Vote in Favor	Percentage Approved
Auditors	68	22.70%	4.40%
Board	1,061	22%	8.80%
Compensation	520	23.00%	4.20%
G-Index	1,558	51%	53%
Voting	421	14%	3.30%
Other	356	33.90%	21.00%

Table I Shareholder Governance Proposals

Interpretation. A sharp spike occurs at day 0 (the vote day) and not on surrounding days. This supports two points:

- **No pre-trend:** there is no systematic information leakage that predicts the outcome in prices before the meeting day.
- **Fast incorporation:** the market reaction is concentrated when the outcome is revealed.

7 Interpreting every table

7.1 Table I: Shareholder governance proposals (sample composition)

What it contains. Panel A reports annual counts of proposals, approval rates, mean vote outcomes, and dispersion. Panel B summarizes proposal types and approval percentages.

How to read it.

- Total proposals in the sample: **3,984**; approved: **1,040** (about **27%**).
- G-index proposals are numerous and relatively likely to pass (high approval rate compared with other types), which is important because later results show G-index proposals drive much of the value effect.

7.2 Table II: Descriptive statistics

Purpose. Describe the firm-meeting/proposal sample used in regressions.

	N	Mean	Std. Dev.	10th Per.	90th Per.
Abnormal Return on meeting day	2,377	0.001	0.023	−0.020	0.023
G-index	2,050	9.5	2.5	6	13
Total assets ($millions)	2,369	43,794.83	124,155	718.83	85,775.73
Market value ($millions)	2,011	22,431	44,477	485	62,404
EBITDA ($millions)	2,300	3,177.70	6,320	52,29	8,223
Capital expenses ($millions)	2,239	1,043	2,570	9.3	2,182
R&D/Assets	2,369	0.018	0.045	0	0.065
Ownership by top five shareholders (%)	2,301	0.245	0.095	0.136	0.367
Institutional shareholders that own at least 5%	1,787	2.170	1.230	1	4
Tobin Q	1,805	1.588	0.69	1.01	2.67
Book to market	1,805	0.528	0.300	0.180	0.960
Return on equity	1,778	0.107	0.100	−0.009	0.241
Growth of capital expenses	1,908	0.059	0.300	−0.31	0.45
Acquisitions ratio	1,960	0.016	0.030	0	0.064
Acquisitions count	1,991	0.53	0.80	0	2.00

Table II Descriptive Statistics

Key takeaways.

- Meeting-day abnormal returns have mean near zero (as expected for abnormal returns), but nontrivial dispersion.
- Firms are large on average (S&P 1500 + widely held), with substantial heterogeneity in assets, market value, investment, and governance (G-index).

7.3 Table III: Pre-existing differences as a function of vote outcome

Purpose. Test whether firms with proposals that narrowly pass differ from firms with proposals that narrowly fail *before* the meeting.

Reading strategy. Compare columns without vs. with the vote-share polynomial:

- Without controlling for the running variable flexibly, some variables can appear correlated with passing.
- Once a polynomial in vote share is included (the RD specification), discontinuities in pre-meeting variables largely disappear.

Conclusion. Near the threshold, the pass/fail outcome behaves as-if random, supporting the RD identification.

7.4 Table IV: Abnormal returns around the majority threshold (core RD result)

What it does. Regress meeting-day abnormal returns on the pass indicator under different definitions of "close" votes, and in a full polynomial RD specification.

Main pattern.

- In the full sample the average effect is small.

	Before meeting (t–1)		Change from (t–2) to (t–1)	
	(1)	(2)	(3)	(4)
Panel A				
Abnormal return 1 day before meeting, Car (–1, –1)	–0.00002	–0.004	n.a.	n.a.
	(0.001)	(0.003)		
Cumul. returns 1 week before meeting	–0.0002	0.0068	n.a.	n.a.
	(0.002)	(0.0079)		
Cumul. returns 1 month before meeting	–0.0024	0.0006	n.a.	n.a.
	(0.0034)	(0.0156)		
Panel B				
Tobin Q	–0.010	0.254	0.014	0.041
	(0.068)	(0.191)	(0.029)	(0.101)
Capital expenses/Assets	–0.001	-3.88×10^{-6}	–0.002	0.003
	(0.003)	(0.006)	(0.001)	(0.003)
Return on equity	1.65	–0.83	1.63	–0.69
	(1.63)	(1.2)	(1.68)	(1.21)
R&D/Assets	0.003	–0.002	–0.00002	0.002
	(0.002)	(0.006)	(0.001)	(0.001)
Panel C				
Acquisitions ratio	0.007	–0.04	–0.023	–0.021
	(0.010)	(0.041)	(0.010)	(0.073)
Acquisitions count	–0.124*	0.193	–0.067	0.305
	(0.070)	(0.21)	(0.064)	(0.267)
Panel D				
Percentage ownership by top five shareholders	3.121***	–0.856	0.092	0.849
	(0.616)	(1.255)	(0.217)	(0.83)
Institutional shareholders that own at least 5%	0.319***	–0.24	0.018	0.29
	(0.072)	(0.199)	(0.049)	(0.204)
Panel E				
G-index	1.242***	–0.514	–0.078	–0.101
	(0.180)	(0.391)	(0.051)	(0.173)
Polynomial in the vote share	no	yes	no	yes

Table III Pre-existing Differences in Firm Characteristics as a Function of the Vote Outcome

	All Shareholders Proposals						
	(1) All Votes	(2) Nonclose	(3) –10; +10	(4) –5; +5	(5) –2; +2	(6) –1; +1	(7) Full Model
Pass	0.000922	–0.000071	0.00230	0.00761***	0.0105**	0.0139*	0.0131***
	(0.000924)	(0.0012)	(0.00163)	(0.00256)	(0.00502)	(0.00756)	(0.00494)
Observations	3904	2990	909	450	183	91	3904
R^2	0.000	0.000	0.002	0.024	0.032	0.039	0.014

Table IV Abnormal Returns around the Majority Threshold

	Abnormal Returns			Abnormal Returns G-index versus Other			
	FFM	MM	FFM		FFM	MM	Positive Ret
	(1)	(2)	(3)		(4)	(5)	(6)
					G-index	G-index	G-index
Day of vote, t	0.013**	0.014***		Day of vote, t	0.014**	0.013*	0.156**
	(0.005)	(0.005)			(0.007)	(0.007)	(0.070)
One day later, $t+1$	0.002	0.004	0.002	One day later, $t+1$	−0.001	0.000	0.074
	(0.004)	(0.004)	(0.004)		(0.006)	(0.006)	(0.073)
Days $t+2$ to $t+7$	0.010	0.007	0.010	Days $t+2$ to $t+7$	0.011	0.010	0.064
	(0.006)	(0.007)	(0.006)		(0.009)	(0.009)	(0.073)
Day of vote, t					*Other*	*Other*	*Other*
One vote passed			0.013**	Day of vote, t	0.009	0.012**	0.002
			(0.005)		(0.006)	(0.006)	(0.113)
Two votes passed			0.022**	One day later, $t+1$	0.007	0.011*	0.173
			(0.010)		(0.005)	(0.005)	(0.110)
Three votes passed			0.046***	Days $t+2$ to $t+7$	0.004	−0.000	−0.113
			(0.017)		(0.008)	(0.010)	(0.106)
Four votes passed			0.046**				
			(0.022)				
Five votes passed			0.071**				
			(0.030)				
Six votes passed			0.115***				
			(0.031)				
Observations	11,884	11,884	11,884		11,884	11,884	11,884
R^2	0.002	0.005	0.002		0.005	0.007	0.007
Number of firm-meetings	2,377	2,377	2,377		2,377	2,377	2,377

Table V Abnormal Returns of Passing Governance Proposals

- As the window narrows around the threshold, the estimated effect becomes larger and statistically significant.
- The full polynomial RD model (using all votes) yields an effect around **1.3%** on the meeting day.

Interpretation. This is the central causal estimate of shareholder value from passing a close-call governance proposal.

7.5 Table V: Abnormal returns of passing governance proposals (dynamics, multiple votes, types)

Purpose. Use the pooled dynamic/aggregation framework to estimate:

- meeting-day effect (t), next-day effect ($t + 1$), and cumulative post-vote effect ($t + 2$ to $t + 7$);
- how the effect scales with the number of proposals passed in a meeting;
- differences between G-index and other proposals;
- whether passing increases the probability of a positive abnormal return.

Core reading.

- Most of the effect occurs on the vote day (t), consistent with Figure 4.
- The effect is approximately increasing in the number of proposals passed.
- Splitting by type shows the effect is stronger for **G-index (antitakeover)** proposals than for other proposals.

		G-index versus Other				Proponents	
		High Ownership Concentration (1)	Active Sharehold. (2)	High G-Index (3)	High R&D (4)		Activist Proponent (5)
Day of vote, t	G-index	0.021**	0.025**	0.019**	0.018*	Institutional	0.021**
		(0.010)	(0.010)	(0.009)	(0.010)		(0.008)
One day later, $t+1$	G-index	0.002	0.004	0.001	0.005	Institutional	0.007
		(0.008)	(0.007)	(0.007)	(0.010)		(0.006)
Days $t+2$ to $t+7$	G-index	0.019*	0.010	0.023**	0.005	Institutional	0.015**
		(0.010)	(0.011)	(0.011)	(0.013)		(0.008)
Day of vote, t	Other	0.009	0.012	0.010	0.008	Individuals	0.008
		(0.008)	(0.009)	(0.010)	(0.009)		(0.007)
One day later, $t+1$	Other	0.012*	0.015*	0.008	0.012	Individuals	−0.001
		(0.007)	(0.008)	(0.011)	(0.008)		(0.006)
Days $t+2$ to $t+7$	Other	0.004	−0.008	0.008	−0.006	Individuals	0.005
		(0.011)	(0.012)	(0.015)	(0.012)		(0.010)
Observations		5,919	2,579	5,704	4,320		11,819
R^2		0.016	0.046	0.012	0.017		0.005
Number of firm-meetings		1,184	516	1,141	864		2,364

Table VI Abnormal Returns and Firm Heterogeneity

7.6 Table VI: Abnormal returns and firm heterogeneity

Goal. Show that the effect is stronger when governance is plausibly more important or when shareholder discipline is stronger.

Key heterogeneity dimensions.

- **Ownership concentration / active shareholders:** larger effects where monitoring capacity is high.
- **High baseline G-index:** larger effects where firms have more antitakeover provisions ex ante (more scope for improvement).
- **R&D intensity:** suggests governance may be particularly valuable where managerial discretion is high.
- **Proponent identity:** institutional/activist-sponsored proposals often have larger effects than individually sponsored ones.

7.7 Table VII: Effect of passing a governance proposal on the G-index (implementation content)

Purpose. Establish that passing proposals translates into measurable governance changes.

Reading. Passing a proposal reduces the G-index (fewer antitakeover provisions) by a statistically significant amount, and the effect persists (and can grow) in subsequent RiskMetrics measurement years.

Interpretation. This supports the "fuzzy RD" channel: passing changes the probability/intensity of implementation, which is crucial for mapping Z into a value of governance via Equation (1).

	G-index	
	(1)	(2)
Year of vote, t	−0.313***	
	(0.102)	
Two years later, t+2	−0.329**	−0.329**
	(0.150)	(0.149)
Four years later, t+4	−0.503**	−0.505**
	(0.229)	(0.228)
Six years later, t+6	−0.507	−0.511
	(0.389)	(0.389)
Year of vote, t		
One vote passed		−0.336***
		(0.108)
Two votes passed		−0.581***
		(0.217)
Three votes passed		−0.744**
		(0.318)
Four votes passed		−1.828***
		(0.589)
Five votes passed		−2.393***
		(0.562)
Observations	9,386	9,386
R^2	0.044	0.045
Number of firm-meetings	2,198	2,198

Table VII Effect of Passing a Governance Proposal on the G-index

7.8 Table VIII: Long-run effects of governance proposals

Purpose. Estimate effects of passing on long-run firm outcomes: acquisitions, CAPEX growth, and book-to-market.

Main patterns.

- For **G-index** proposals (removing antitakeover provisions): evidence of reduced acquisitions and reduced investment growth, alongside lower book-to-market (higher valuation) in later years.
- For **other** proposals: valuation effects appear earlier but are less persistent; investment and acquisition responses differ from the G-index case.

Interpretation. Governance changes have dynamic real effects beyond the event-day market reaction, and the direction of policy responses depends on what governance dimension is being changed.

8 Conclusion

8.1 Summary

This paper provides causal evidence that shareholder-approved governance reforms increase shareholder value and affect real corporate policies. The key empirical challenge in the governance literature is endogeneity: firms that adopt governance reforms may differ systematically from those that do not. The paper solves this by exploiting a *close-vote regression discontinuity design (RDD)*:

		Acquisitions Count (1)	Capex Growth (2)	Book-to-Market (3)
Year of meeting, t	G-index	−0.00102	−0.0797	−0.0172
		(0.120)	(0.0541)	(0.0270)
One year later, t+1	G-index	−0.0305	−0.117**	−0.0255
		(0.102)	(0.0577)	(0.0337)
Two years later, t+2	G-index	−0.166	−0.0411	−0.0648*
		(0.109)	(0.0664)	(0.0342)
Three years later, t+3	G-index	−0.180*	−0.00382	−0.0970***
		(0.108)	(0.0671)	(0.0362)
Four years later, t+4	G-index	0.166	−0.0922	−0.0941**
		(0.134)	(0.0648)	(0.0419)
Year of meeting, t	Other	0.0384	0.114	−0.0607**
		(0.122)	(0.0832)	(0.0254)
One year later, t+1	Other	0.135	0.0161	−0.107**
		(0.132)	(0.106)	(0.0436)
Two years later, t+2	Other	0.316	0.157	0.00972
		(0.223)	(0.103)	(0.0724)
Three years later, t+3	Other	0.248	0.464***	−0.0266
		(0.214)	(0.144)	(0.0447)
Four years later, t+4	Other	0.500**	0.664**	0.0444
		(0.253)	(0.257)	(0.101)
Observations		11,384	6,501	9,120
R^2		0.022	0.027	0.024
Number of firm-meetings	1,797	1,524	1,817	

Table VIII Long-Run Effects of Governance Proposals

when a proposal's vote share is extremely close to the passing threshold (typically 50%), passing versus failing is "locally" quasi-random.

The main conclusions are:

(i) **Close-call passage of governance proposals increases firm value on the vote day.** The stock market reacts positively when a governance proposal narrowly passes rather than narrowly fails. The benchmark meeting-day abnormal return discontinuity is about **1.3%**.

(ii) **The implied value of implementing a governance provision is economically large.** Because these proposals are often not perfectly binding, the vote-day abnormal return is an "intent-to-treat" effect. Using observed post-vote changes in governance provisions to proxy for implementation probabilities, the paper infers that **implementing one provision increases market value by about 2.8%** (a conservative, vote-day-based estimate), and can be as high as **about 5.1%** when using a longer post-vote return window.

(iii) **The effect is strongest for antitakeover-related (G-index) proposals and for firms where agency problems are likely larger.** The value response is more pronounced among firms with higher preexisting managerial entrenchment (high G-index), stronger shareholder pressure and monitoring capacity (e.g., more concentrated ownership), and greater managerial discretion (e.g., higher R&D intensity). Proposals sponsored by institutional shareholders/activists generate larger effects than those sponsored by individuals.

(iv) **Passing proposals changes real firm behavior in ways consistent with reduced agency costs.** For antitakeover-related proposals, passage is followed by **fewer acquisitions** and **lower investment growth** (capital expenditures), consistent with a reduction in value-destroying expansion and discretionary spending. Long-run valuation measures improve with a lag (e.g., lower book-to-market / higher Tobin's Q after a few years), while accounting profitability effects (e.g., ROE) are more modest.

(v) **Governance changes have dynamic effects.** Passing a proposal increases the probability of contemporaneous governance changes and also affects future governance actions. In valuation terms, the paper suggests that a meaningful fraction of the market reaction reflects *future* governance implications, not only immediate implementation.

8.2 Intuition: why a close-vote RDD reveals the value of governance

The intuition is a clean combination of *uncertainty*, *information revelation*, and *partial implementation*:

1) Close votes create quasi-random variation in governance outcomes. When a proposal is far from the threshold, the outcome is predictable and correlated with underlying firm characteristics. When it is very close to the threshold, small idiosyncratic factors determine pass/fail, so firms just above and just below the cutoff are comparable in expectation. This makes passing "as-if" random locally, which supports a causal interpretation.

2) The market reaction is an update from an ex ante probability to an ex post outcome. Before the vote, the market already prices in the probability that the proposal will pass. Only in close votes is the outcome genuinely uncertain, so prices move sharply once the outcome is realized. The discontinuity at the threshold isolates the incremental value of passing from confounding trends in vote share.

3) Shareholder proposals are often *fuzzy* treatments. Passing does not guarantee immediate implementation, but it increases pressure on management and the likelihood that the firm will adopt (now or later) the relevant governance change. Therefore, the observed vote-day abnormal return is a mixture of:

- a contemporaneous increase in the probability of implementation, and
- a dynamic increase in the probability of future governance changes.

The paper's "value per provision" calculation conceptually scales the market reaction by these probability changes.

4) Why governance increases value (mechanism). Removing entrenchment provisions strengthens discipline on managers (via greater susceptibility to takeover or other shareholder actions), reduces the scope for private benefits, and shifts policies away from actions consistent with agency costs (e.g., excess acquisitions and discretionary investment). Hence, shareholder value increases when governance is improved.

8.3 Takeaway

Narrowly passing shareholder governance proposals causally raises shareholder value, especially for antitakeover reforms, and the market reaction implies economically large gains from implementing governance provisions, with subsequent policy changes consistent with reduced agency costs.